The Definitive Guide to Profitable Trading with Predicting Alpha

By the end of this document you will know how to run 3 profitable strategies with the Predicting Alpha Terminal.

Click here link to see me walking you through this information with my commentary

The reason you are here is because you understand that in order to run a profitable option selling book, you need to arm yourself with the tools, education and community to effectively price option premiums and build a portfolio that outperforms the market.

This document is designed to teach you everything you need to know to be up and running from day one.

This is your ultimate reference guide. Keep it nearby. Print it out. Reference it. Use it to help you start trading effectively.

Let’s get right into it.

1 What Running a Profitable Volatility Trading Book Looks Like

Being a profitable trader is very similar to running a business. As a trader you get paid for providing value into a market. And in options, the business we are running is very similar to that of an insurance company. Simply put, we get paid for providing protection against unexpected moves.

For example, a pension fund needs to hedge a major holding around an earnings event. So they buy puts. They don't really care about the price of the puts, since what they really need is that protection. So as traders we can come in, price out the options and provide liquidity where we think there is good compensation for the risks we will be holding on behalf of the fund. That is one example of the *real world value that profitable traders add to markets*.

Most traders tend to think that the market is a zero sum game. But when you read the above example, the most important thing to realize is that **not everyone engages in a trader with the same intentions.** The example shows us how *some market participants are willing to engage with us even though it's a losing trade for them*.

As volatility traders, we are directly trying to generate returns based on the option prices. For others, they view options as insurance products. *They are willing to pay us to hedge away certain risks.*

Just like in our example, finding logical, profitable scenarios that persist over time is the foundation of good trading.

Now.. What makes a business a *good business*? **Having a competitive advantage**.

This is what we would call an "edge" in the trading space.

When we have an edge, it means that we thoroughly understand the reason we are getting paid. Having an edge means we no longer rely on luck to make a profit, because we have positive expected value, which is a topic covered early in our academy, but it basically means that on average we are supposed to make money by placing a certain trade. This is what allows us to grow our wealth and sleep better at night regardless of any single trade outcome.

To do this successfully, we aim to build our book on the following principles

1. Find opportunities where the premium we collect is higher than it should be for the risk we are taking.
2. Diversify across many opportunities to reduce our risk.
3. Collect inflated premiums for many different reasons to decrease risk and enhance returns.

2 Pricing The Variance Risk Premium

This section will walk you through how our most important data points are calculated and exactly how you are going to be using them in each of the strategies that you will be using to get started with the platform.

Measure, don't forecast

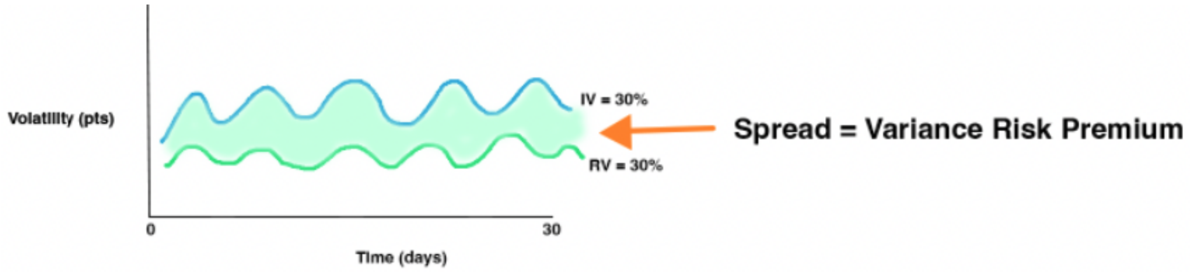
For a long time there was a big edge in putting together your own model for volatility and trading when it was different from the market. But in recent years, the market has become a lot better at forecasting volatility. The odds of us putting together a vol targeting forecast that beats the market on average across a large array of tickers is pretty low. Not because forecasting has become hard, but because when you make a good forecast it gives you a similar number to the implied volatility from the market. But the beauty in volatility trading is that *you don't need to be able to see the future*. There is plenty of cash on the table for simply *being able to measure the present accurately*.

Since [volatility is stationary] we can tell when it's high and when it's low. We can see where it should be on average and use this to build a book based on harvesting the richest premiums. With pieces of information like this, we can build really good systems that allow us to monetize volatility trading strategies without needing to see the future. This is the foundation of volatility trading in the modern age.

Calculating the Variance Risk Premium.

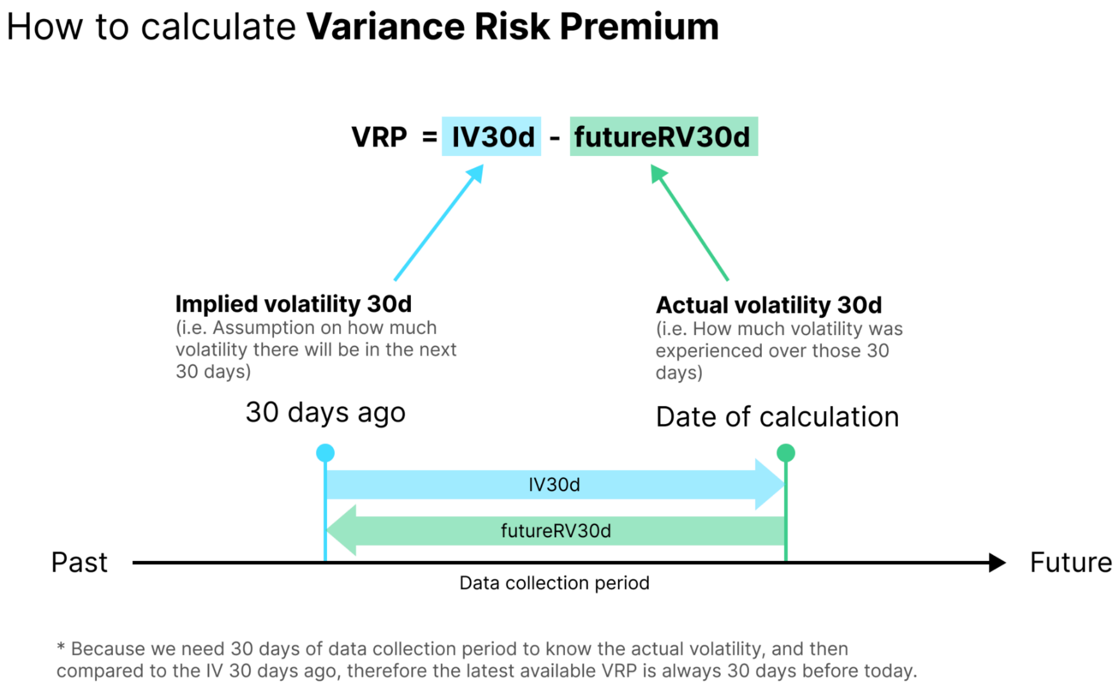
One of the most powerful functions of the Predicting Alpha terminal is that it calculates the variance risk premium for you. In order to calculate the variance risk premium for a ticker, we need to do a couple of things.

1. We need to compare the market forecast of volatility for a time period against the realized volatility experienced in that same time period. This will tell us the premium that was embedded on a given day. We use the IV30d and the subsequent realized volatility over the next 30 days.



But simply seeing this for one day isn't enough for us to make a trade. A single day tells us if there was a profitable trade, but it doesn't tell us if there is *an embedded premium* for us to monetize. To know this, we have one more step to take.

2. We run this calculation for every single day over a large time period and use it to build a chart of the variance risk premium.
   a. It allows us to see if there is a persistent effect that we can monetize. Th*is persistent effect is what we call the variance risk premium.*



This is the calculation that is run for each day. It allows us to measure the 1 day premium (how much higher was implied volatility than realized?).

But in order to determine if this is a tradable effect rather than a one off scenario, we need to extend our analysis. Instead of calculating the premium for just a single day, we will do it daily over a span of four years. This approach will allow us to assess the persistence and magnitude of the effect over a more extended period.

In the terminal, this is seen on the **Variance Risk Premium Page on the main chart (see below)**. Each bar represents the premium for a single day, and overlaid is the moving average for the premium.

Alright, so this graph is awesome. It literally shows me the risk premium over time for any asset. But what are the important insights?

Key insights from the variance risk premium

At a fundamental level, there are 5 metrics which can paint a clear picture of the option premium landscape. Each of these is available to you in the Variance Risk Premium Dashboard.

	Metric	Definition	Interpretation
1.	Avg. VRP + 11.15 over the past 4 years	The average spread between implied volatility (30 day) and the subsequent realized volatility. Uses 4 years of data.	We want to be trading tickers that have an established variance risk premium. Seeing a positive average VRP confirms That our hypothesis that a VRP exists for a ticker is true and that selling options is likely to remain profitable.
2.	VRP Moving Avg. + 17.1 over the past 10 trading days	Same calculation as "Avg. VRP" but using only the last 10 days of data.	Since there is short term clustering in volatility, this number helps us see if there has been a risk premium in recent times. It compliments the Average VRP metric to give u a full picture of if there is a strong premium selling opportunity.
3.	VRP Win Rate + 82.3% over the past 4 years	The percentage of days over the last 4 years that the VRP calculation output was positive.	We want to be selling premiums that follow a risk profile that is what a short volatility strategy should see (many small winners, occaisional big losers). The higher this number, the better (greater than 50% is the threshold we look for)
4.	IV Percentile 15th over the past year	Current percentile of 30 day implied volatility compared to the past year.	This metric helps us to know if the current volatility environment is stable. This is important because when implied volatility is able to forecast realized volatility accurately, it is easier to extract the risk premium. IV Percentile below 80 is the ideal condition.
5.	Median Option Volume 5.37k over the past 4 years	Represents the average number of options traded each day over the past 4 years.	Since we are making data driven decisions, the quality of the data directly impacts our insights. In order to ensure our insights are accurate, we want to know if the market has been liquid on average for the ticker we are analyzing. Option volume higher than 5,000 is what we look for to have confidence.

Note: You will be using these 5 metrics for all Variance Risk Premium pricing strategies. If you have questions about them, send a message in the discord community chat.

At a glance you can measure the size of a risk premium for an asset. Pretty cool, huh?

Now that we know the key metrics we will be using as the basis for our analysis, it's time to move into our next section where we will go over the workflow that you will be following when using the Predicting Alpha Terminal.

3 The Trading Strategy Funnel

The most common mistake that I see traders make is that they start their days by saying things like "*I want to place a trade on AAPL*" or "*I like to trade SPY*". This is dangerous because you have already made up your mind that there *must* be a trade in a particular place without consulting the data. This almost always leads to poor trading and is a common consequence of not having access to alternative forms of idea generation.

But this is no longer you. *You are more knowledgeable. Better equipped.* And from now on your trading is going to reflect that.

So what kind of opinion do professional traders start their day with? The answer? **None**.

That's right. We start our days with no opinion. We do not allow our biases to skew our view. Each day starts fresh and we leverage the tools we have to inform us about where opportunity is to be found.

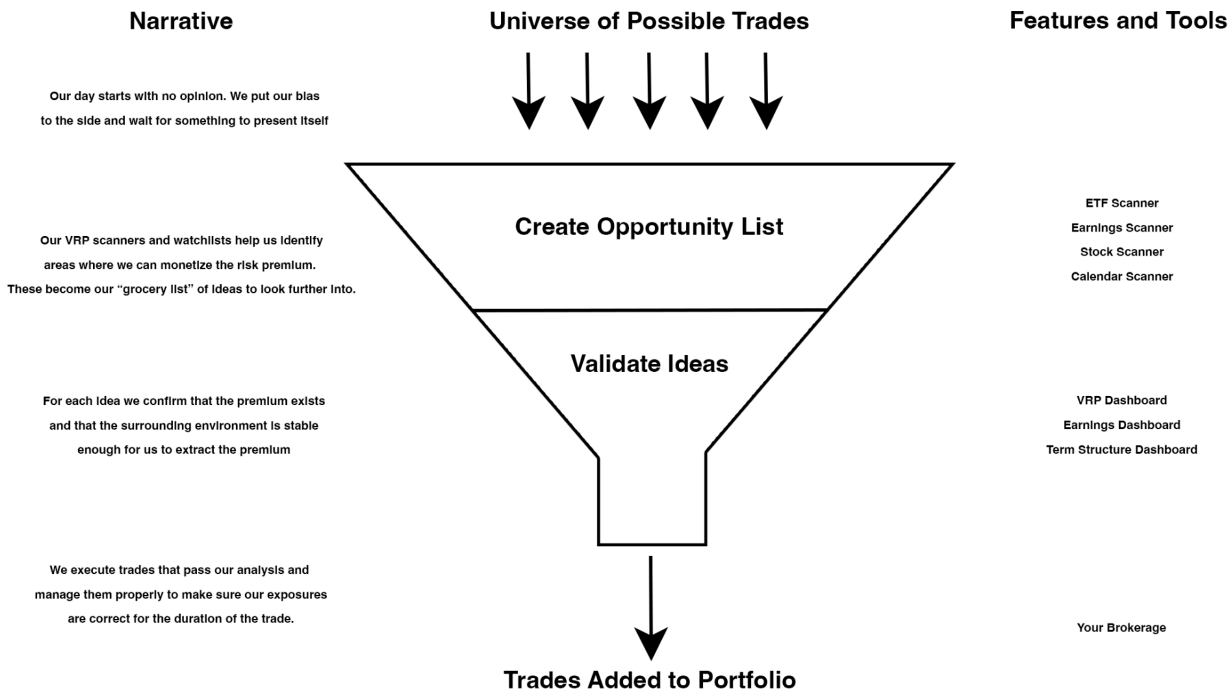
So what workflow can we use to go from having no opinion to a portfolio of +EV trades?

Well to do this, you need to think of every trading strategy you have as a funnel. We take every possible trade out there, run them through our funnel and the ones that come out the other side are high quality trades.

Thankfully with the PA terminal, you have access to a professional grade funnel for volatility trading strategies.

Meet Your New Trading Process

This is what the trading funnel looks like, what you should be doing at each stage, and the tools you have to help you keep moving towards placing great trades.



As you can see. The goal of the funnel is to provide you with a curated list of trades that are high quality and evidence driven. At each stage of the funnel you have access to the exact tools that you need in order to process the trade ideas and filter them accordingly.

The funnel process applies to all trading strategies

What you have just learned is the general process that applies to all trading strategies. It's the exact process to go from "*I have no ideas*" to "*I have a basket of trades that are all logical, backed by evidence and positive expected value*".

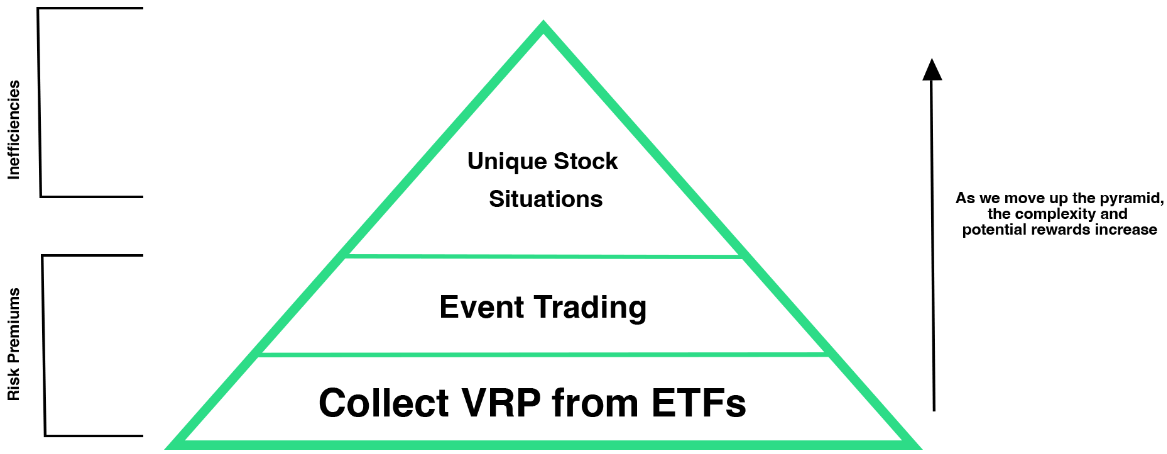
Let's make use of this funnel now.

4 The Trading Strategy Pyramid

At the very least, every single trader should be running a good business. This means that you have regular day-to-day activities, which you know and understand very well that generate a return on your investment into your business for you. They don't need to be complicated or time consuming. They just need to be a reliable way to generate returns that you can forecast into the future.

And then once you are doing that, if you are able to find a bigger competitive advantage, or an untapped market, you are going to be able to increase your returns even more. But fundamentally, you need to have a solid business.

The trading pyramid is a visualization of what it means to run a good business and where you can start exploring once you have a strong foundation in order to find your own competitive advantages.



Notice how as you go up the levels in the pyramid, a couple things happen. Firstly, the complexity and potential for returns increases. Secondly, we transition from risk premium trades into inefficiency trades.

The difference between risk premiums and inefficiencies is that risk premiums are the day-to-day strategies that good trading businesses are built on. They are strategies based on things that will persist for a long period of time. In volatility trading, they are the compensation that is baked into option prices to incentivize us to sell options and provide liquidity to those in the market who are looking to hedge away risks.

Inefficiencies are the unique market opportunities that allow someone to run an excellent business. These may look different for every trader, depending on their unique insights and the creative ideas they come up with. There's still a general process that we can follow to find the mispricings that lead to these opportunities. Think of trading inefficiencies as the stuff you do on top of your day today activities that push you beyond your expected revenue targets. Once we have a solid portfolio up and running, we want to be spending the rest of our time looking for these types of trades.

A quote that illustrates how to think about the pyramid.

We once asked a professional trader in our network "what is the magic to profitable trading". His response stuck with us ever since.

Most of the time play tight to the vest, watch your risk closely and try to make enough to cover the overhead and live well. When you find an edge -- an arb or a quasi-arb -- pile it on, hit it with everything you've got, gear it up, borrow money to play it ... and keep doing that until the arb goes away, which always happens.Then spend your time looking for the next one. That's it. No secret really.

Even at the professional level, traders are doing "base of the pyramid" stuff. It's what pays the bills and affords us the luxury of looking for bigger and better edges.

So before anything else, let's get a solid foundation going.

5 Strategy One: Collect VRP from ETFs

Running a good volatility trading book/business means that you have a clean way to extract the variance risk premium. And the best way to do this is by selling options on ETFs.

The reason this is the best starting point is for 3 major reasons

1. ETFs are a common place for funds to hedge their book (good liquidity and sector exposures)
2. ETFs have added premiums baked in because of *correlation risk* (all the holdings become correlated in a crash).
3. ETFs don't carry the same bankruptcy and upside jump risk that individual stocks do (less blow up risk)

This is a trade that we can execute easily. There are 3 steps that we do every time we look for new trades. You can run this strategy in less than 1 hour per week.

1 Scan for ETFs With Highest VRP

- Use "ETF Variance Risk Premium" Scan
- Pick ETFs with a high VRP 1d
- Pick 2-3 ETFs to add to your portfolio
- Make sure each ETF selected represents a different sector/region

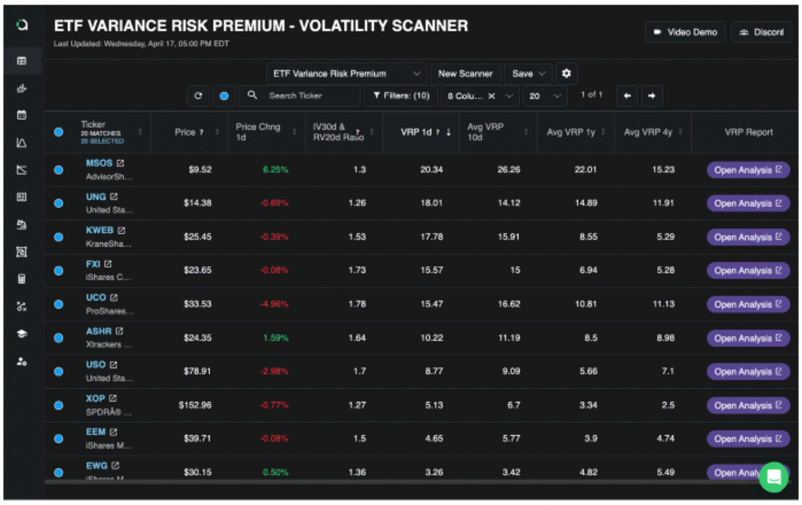
2 Review Variance Risk Premium For Each Selection

- Average VRP > 1
- VRP Moving Average > 1
- Win Rate > 50%
- IV Percentile < 80%
- Option Volume > 5,000

3 Sell 30 DTE At-The-Money Straddles

- Hedge delta either 1 time each day, or set a hedging threshold
- Strangles are OK too, make sure delta neutral
- Buying wings is OK too, but keep in mind it lowers your edge significantly

How to scan for ETFs with Highest VRP



Ticker 20 MATCHES 20 SELECTED	Price	Price Chng 1d	IV30d & RV20d Ratio	VRP 1d	Avg VRP 10d	Avg VRP 1y	Avg VRP 4y	VRP Report
MSOS AdvisorSh...	$9.52	6.25%	1.3	20.34	26.26	22.01	15.23	Open Analysis
UNG United Sta...	$14.38	-0.69%	1.26	18.01	14.12	14.89	11.91	Open Analysis
KWEB KraneSha...	$25.45	-0.39%	1.53	17.78	15.91	8.55	5.29	Open Analysis
FXI iShares C...	$23.65	-0.08%	1.73	15.57	15	6.94	5.28	Open Analysis
UCO ProShares...	$33.53	-4.96%	1.78	15.47	16.62	10.81	11.13	Open Analysis
ASHR Xtrackers ...	$24.35	1.59%	1.64	10.22	11.19	8.5	8.98	Open Analysis
USO United Sta...	$78.91	-2.98%	1.7	8.77	9.09	5.66	7.1	Open Analysis
XOP SPDRÂ® ...	$152.96	-0.77%	1.27	5.13	6.7	3.34	2.5	Open Analysis
EEM iShares M...	$39.71	-0.08%	1.5	4.65	5.77	3.9	4.74	Open Analysis
EWG	$30.15	0.50%	1.36	3.26	3.42	4.82	5.49	Open Analy

List of ETFs With High VRP

- Recommended to start with 2-3 ETFs
- Make sure they are each representing different sectors and regions

All tickers on this scan will meet the core criteria for being a good trade. Empirically, you could trade all of them (this would actually give you the smoothest PnL). But in reality we do not have the time or resources to be managing 50 trades at any given time.

So let's start with 2-3. And you can know that any ticker on this list meets the following criteria:

ETF List Criteria

- Avg. VRP is greater than 1
- VRP Moving Average is above 1
- VRP Win Rate Above 50%
- IV Percentile Below 80%
- Median Option Volume Above 5k

If all tickers meet the same criteria, how can we pick? Time for step 2.

How to review the risk premium for each ETF you selected

Clicking the "Open Analysis" button for an ETF on the scanner page will take you to its VRP analysis. This is where you will see the chart of its variance risk premium, 5 key metrics that were calculated for you, and other supporting information.

And here is a checklist that can help you do the final level of analysis and make the decision for which ETFs you will trade!

VRP Analysis Checklist

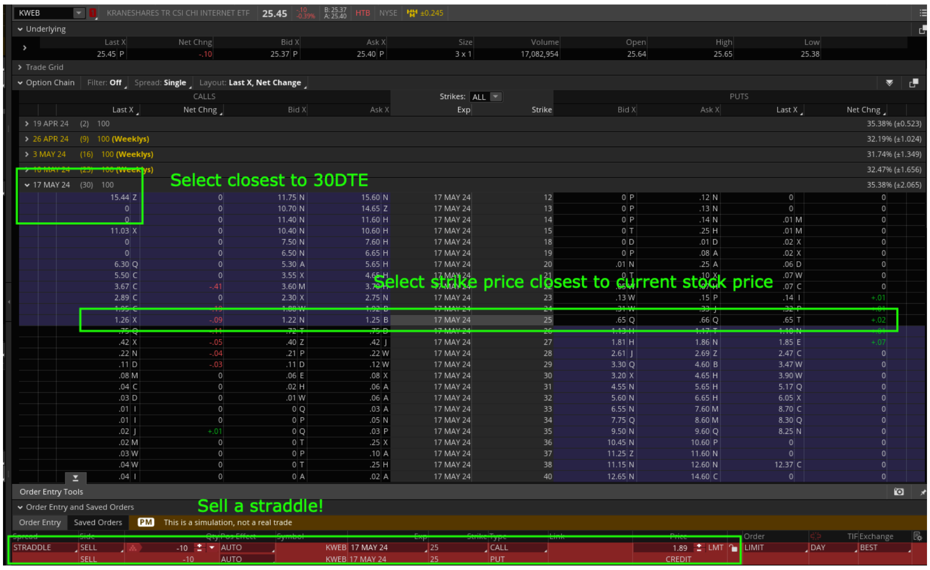
- Look for ETFs with high Avg VRP
- Moving Average is increasing
- Pick ETFs with Higher Win Rates
- IV Percentiles 10-60 are better

Once you have selected 2-3 ETFs, the final step is to place the trades.

How to Structure a trade to capture the ETF's Variance Risk Premium

The most straightforward approach is to sell a 30 DTE, at-the-money straddle. Variations of this are acceptable (strangles, iron condors, etc) but fundamentally a straddle is the cleanest structure for harvesting the risk premium.

Here is an image from Think or Swim that illustrates the ideal structure.



Pause your reading, go find a trade

Predicting Alpha is not a place for theory, it's a place for action. So go and place a trade right now.

Send a message in the trading chat on [Discord] and our team will personally review your trade to make sure everything is looking good!

6 Strategy Two: Event Trading Strategies

Running the ETF strategy is how we get our “trading business” up and running. Once this is going smoothly, event trade is the logical next step. Variance risk premiums also exist when there are market events coming up that could result in large changes in the prices for stocks. Earnings, FOMC events, and product releases are examples of areas where this type of premium exists.

Since these events can result in significant moves, they tend to provide larger returns (but also more PnL variance) than the ETF trades we just covered.

The most popular type of event trade done by Predicting Alpha members is Earnings Trading.

Why are earnings events popular to trade?

Earnings is very volatile

Earnings events are responsible for between 30-70% of how much a stock moves each year. It’s when companies release information about how they are doing, their growth and any significant challenges they are facing.

Everyone wants to buy options, no one wants to sell

It’s a time when funds look to hedge their positions, and retail traders look to speculate. Basically, it’s a time when a lot of market participants are looking to buy options.

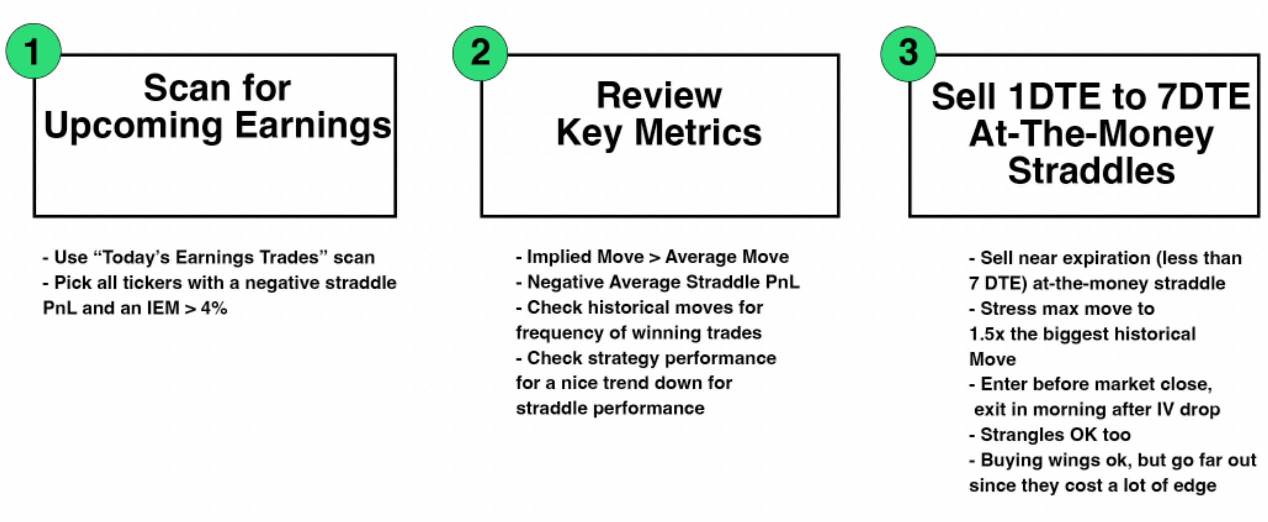
On the other hand, it’s a time when many traders shy away from selling options. Earnings can cause *major* moves.

We can diversify extremely effectively by trading many events

If we were only able to trade one earnings event, that would be pretty scary. Because as we know, it can cause a lot of movement. But here’s the thing. Just because, for example, NFLX has a big move on earnings, it doesn’t mean that AAPL is going to have a big move. *The events are uncorrelated*. This means we can diversify our risk by reducing our size on each trade and placing trades on many events. For example, I know traders who will place literally 100+ each earnings season.

Running an earnings strategy is a great next step after implementing the ETF VRP strategy. So let’s go over exactly how you would do it.

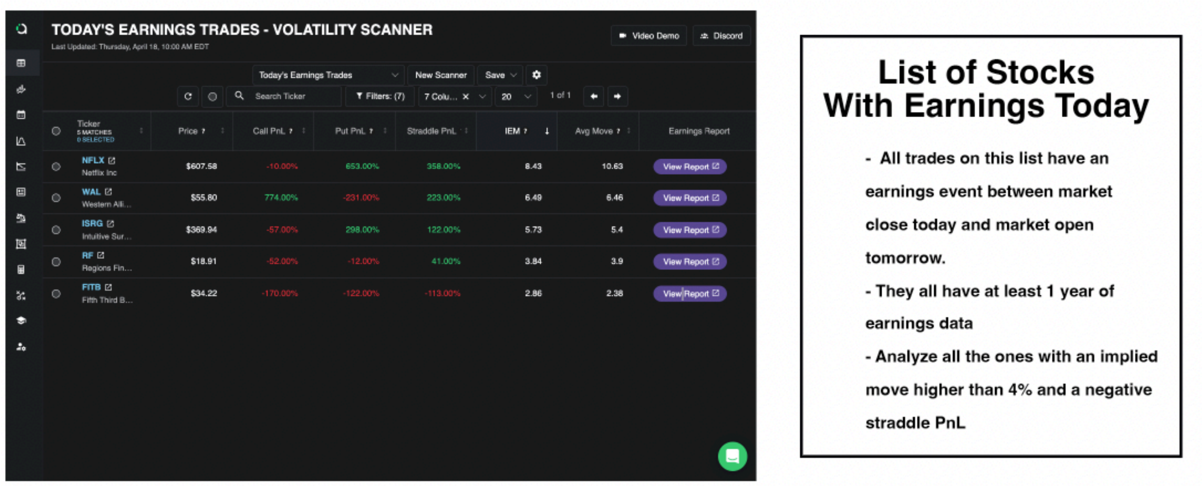
There are 3 key steps to running a successful earnings strategy



Just like all of our strategies, it starts by finding good candidates. Going to the Predicting Alpha Volatility Scanner, we can pull up a list of trades that have earnings that are tradable today.

How to scan for earnings trades.

Go to the scanner page and select the "Today's Earnings" Scanner.



To filter from this list down to the ones that we want to take, we primarily look for ones where the straddle PnL is negative (this indicates that being an option seller over historical earnings events for a ticker has been profitable). A secondary metric we can use is the IEM (implied earnings move) compared to the average move. If the IEM is higher than the average move, that also indicates that a risk premium may be present.

Looking at the screenshot above as an example, FITB would be a trade that looks appealing. So now we would move on to step 2, which is to review the key metrics for the trades we are looking to take.

How to analyze and pick good earnings trades

Analyze Earnings Metrics

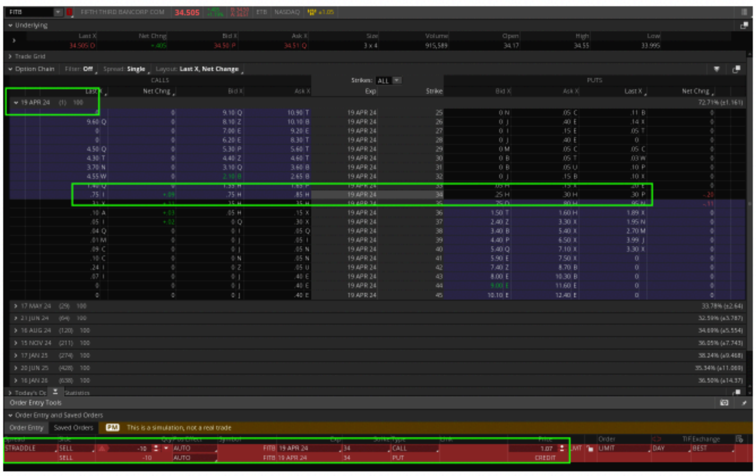
- Implied Move higher than the Average Move
- Consistent return from selling Straddles
- Max Move is 6% historically

A quick look tells us that this is a pretty good trade. There's a pretty consistent premium which indicates that the market has a good idea of how to price the premiums here. The implied move is higher than the average move, and the max historical move is quite low, indicating that our likely loss if the trade goes against us will not be too large.

A similar analysis should be done for each trade we are looking to take today. Remember, the core question we are trying to answer is "*Is there a risk premium for us to collect here?*". If the answer is yes, we should be taking the trade. Fundamentally we do not need to dive much deeper, since any variance that we experience should even out by taking a large number of trades during each earnings season (a very important part of running this strategy successfully).

Once we have finalized the list of trades that we are going to take, it's time to place our trades. Here are the general guidelines to executing earnings trades well.

How to execute and manage your earnings trades



Placing Earnings Trades

- Trade closest expiration to the event.
- Sell a delta neutral position (straddle, strangle, etc).
- Stress position to at least 1.5x the max historical move.
- open right before market close.
- Close 5-15 min after market open.

The goal of these execution tips is to help us isolate the earnings event (reason we enter near market close) and make sure that we trade the implied vs realized move (reason we wait 5-15 minutes to close out, let the IV come down).

This earnings strategy is an excellent next step. Once you have this up and running, you will have a very clear idea of how to trade events and you can take that knowledge to start exploring your own event trades! For example, you can sell volatility around FOMC events, or any others that you believe there may be a premium.

7 Strategy Three: Unique Stock Situations

If you have followed all the guidelines up to this point, you should be running a pretty great volatility portfolio. You should have multiple sources of premium that are all working together to give you a solid PnL. You should feel confident and sleep well knowing exactly why you are getting paid. And realistically, win or lose, there should be very little that surprises you.

On top of that, you shouldn't need to spend all day to run these strategies. Maybe a couple hours each week on the ETFs, and 30 minutes a day on earnings.

That leaves a lot of free time. What should you do with it?

At this point it's reasonable to spend time doing other hobbies and work. But if you want to dive even deeper into the world of trading, this extra time can be spent looking for *serious mispricings*.

Remember the quote from the start of this section.

Most of the time play tight to the vest, watch your risk closely and try to make enough to cover the overhead and live well. When you find an edge -- an arb or a quasi-arb -- pile it on, hit it with everything you've got, gear it up, borrow money to play it ... and keep doing that until the arb goes away, which always happens. Then spend your time looking for the next one. That's it. No secret really.

At this point we should all be making enough to cover the overhead and do pretty well. So it's time to start looking for the trades that take us from a decent year to *an amazing year of trading.*

Inefficiencies in Individual Stocks

So you might have noticed that up until this point we haven't really discussed selling options on individual stocks (outside of event trades). This is intentional.

Trading volatility on single names requires more attention to detail than selling volatility on ETFs. Not only that, but the actual risk premiums are less pronounced on average, because single stocks don't have the "correlation risk premium" that ETFs do.

However, Single stocks do pose a major advantage over trading ETFs. This advantage is that there is m*uch more room for fear, greed and overall irrationality to skew option prices*, sometimes leading to massive inefficiencies.

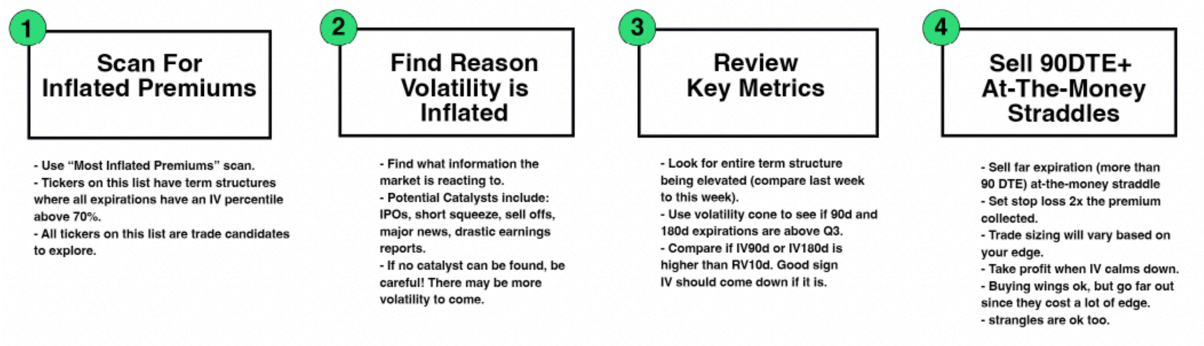
Meme stocks, IPOs, bankruptcy rumors, rapidly growing industries, all of these things lead to irrational buying behaviors in the market. Couple this with the reluctancy from big players to sell options, and you find yourself with a massive supply/demand imbalance.

These are the areas where we can find really big edges that can change our year.

I call this type of trading “**Distressed Volatility Trading**”. We look for areas where there is a massive shift in the volatility surface from what is typical. This is usually driven by some major unexpected news.

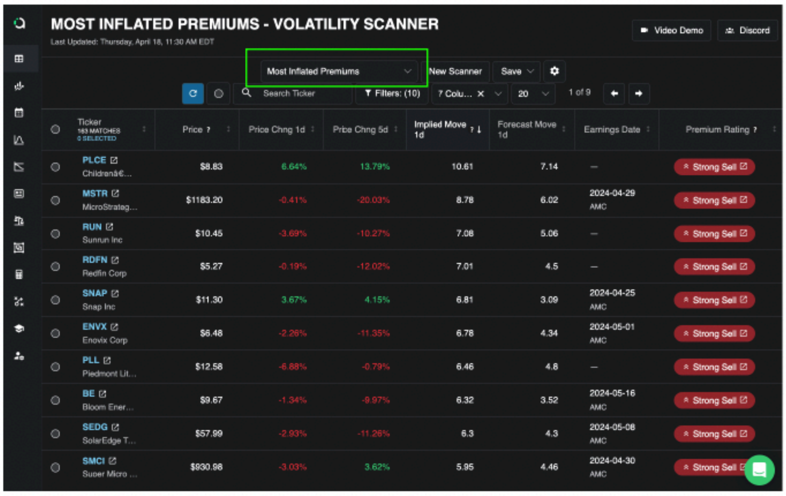
Sometimes in these situations, the entire term structure for a ticker will become *dramatically elevated.* Even though the stock may move a lot in the short term, the market will be implying that this level of movement will continue almost indefinitely. In most cases we are able to realize that this isn’t true, and in these situations, we can be selling the longer dated options to collect a hefty premium. We profit when the market comes back to its senses and the implied volatility starts to come back down (longer dated options have a lot of vega exposure).

How to find Distressed Volatility Trades



How to scan for distressed volatility trades

There is a pre-built scan in the Predicting Alpha terminal called the “Most Inflated Premiums” Scan. This is the one that our team personally uses to try and uncover these trading opportunities. The way it works is by finding tickers that have an IV percentile greater than 70% *for all expirations*. This means that the entire term structure is elevated, which is usually the result of some major event or large moves occurring.



Finding Distressed Volatility Trades

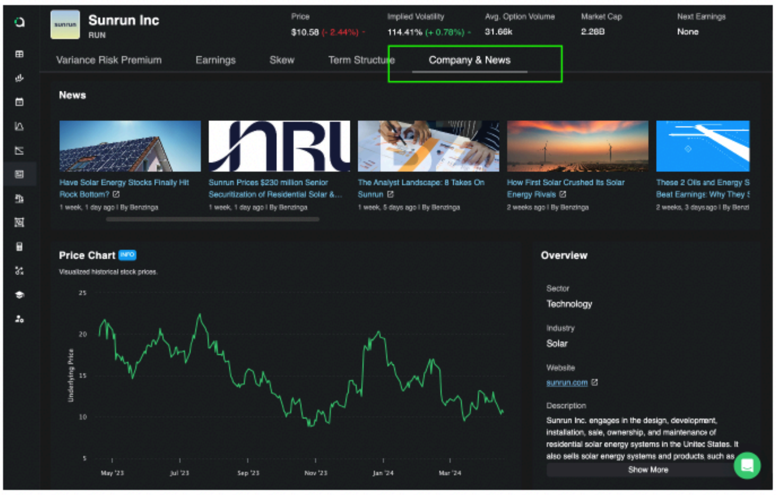
- Use "Most Inflated Premiums" scan.
- All tickers on this list have abnormal volatility right now. These tickers have elevated term structures (all expirations above 70th IV percentile).
- Large implied 1 day moves are a good indication to look into it.

All of the tickers that appear on this list are good candidates for this type of strategy. However, we cannot simply place trades. We need to dive deeper into them to really understand what is happening. This brings us to step 2.

Find the reason volatility is high

For each of the tickers on the list, we are going to research what is happening around the company to try to understand what is causing the implied volatility to increase. Usually there will be a blatant news event or a large change in share price that is causing it.

It's important to note that if we cannot understand the reason why volatility is elevated, then we should be disqualifying the trade. If volatility is high and we don't know why, then there is a chance that there is information that is not yet being priced in which could cause more major movement in the future.



Find the Volatility Catalyst

- Volatility does not go crazy like this for no reason. Find out why..
- The Copmany & News page gives you a quick overview into the most important news.
- Also check company press releases, Google, and discussion forms like Reddit.
- You can check the price chart for when the stock had a big move -> This date is usually when the news came out!

When we find a catalyst, the important thing for us to do is create an opinion on if the event is "over" or "fully priced in". We do not want to be selling distressed volatility in the middle of the chaos. We want to come in on the tail end of it and be selling when things are resolved. So if the news should be fully priced in, then we have found a great potential candidate.

For the tickers that make it through this initial analysis, it’s time to get back to looking at the data.

Analyze the IV changes and pick the expiration to trade

When we are trading these distressed volatility situations, we are not really looking to trade the difference between *implied and realized* volatility. Rather, we are looking to trade the *change in implied volatility*. Remember, our idea is that the market is overreacting to a situation and that it will calm down eventually. When the market calms down, it starts to think more rationally about the future, which leads to a decrease in implied volatility.

Typically we are going to be trading somewhere between 90DTE and 365DTE options. Pretty far out. The reason? These are the options that tend to get most out of line and they also have the most sensitivity to changes in implied volatility.

See if Long Expiration Volatility Is Inflated

- The Term Structure page is perfect for this analysis

- Term structure graph will show you how IV changed for each expiration in the last month (we want to see a big increase).

- The volatility cone will show you where the current level of IV is compared to the past. We want to see the long dated expirations above Q3 and ideally close to the Max.

In the Predicting Alpha Terminal, head over to the Term Structure page. This has the two graphs that you will need to make an informed decision. The first graph shows you the term structure today compared to the term structure from 1 month ago. This is basically showing you the term structure before the event occurred, and the term structure after.

You use this graph to see which expiration (remember, focusing on the longer dated ones) has been the most severely impacted. This helps us find the ones that we are likely to trade. For example, if you see that there is only a minor change in the 365 DTE options but a massive change in the 90 DTE options, then you know that there is likely more edge in the 90 DTE because the market is already expecting things to calm down within a year.

The second graph is the Volatility Cone. This allows us to visualize where the current IV is for each expiration relative to where it has been in the past. We can see, for example

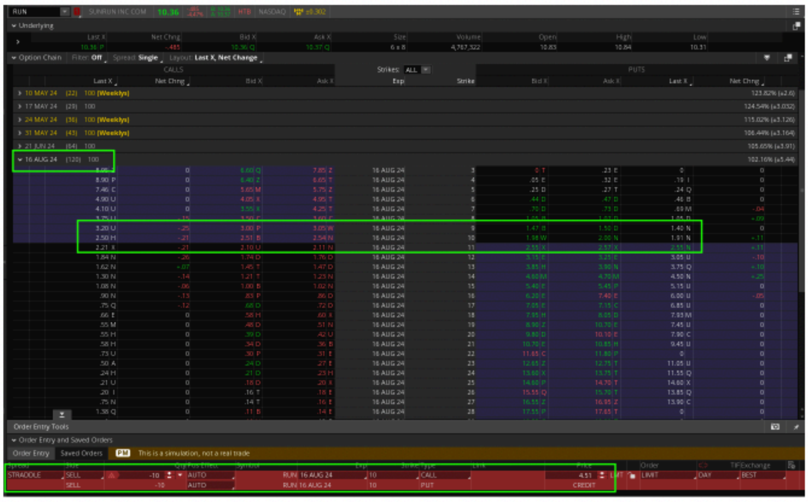
- Where it is on average
- The lowest and highest its been
- The 25% and 75% line (ex: the 25% means that "25% of the time IV is below this line").

This acts as another qualifier for this trading strategy. We want to be trading tickers where the term structure is near the Max it has been. Volatility should be at unprecedented levels in order for us to be taking it seriously, and this graph is what allows us to know if that is what we are truly seeing.

Once we have picked an expiration and confirmed that the volatility is extremely high, it's time to move on to the last step and place a trade.

Note: We need to remember that this strategy is the highest complexity. It is not easy money. On the contrary, it's volatile, difficult money. So I highly recommend that before you ever place a trade with this strategy, you share your ideas and research with the [community](). Get insights from other great traders.

How to structure your distressed volatility trades



Sell Far Expiration Volatility

- Look to sell between 90-365 DTE.

- Notice how the premium covers a large amount of the stock price? This is because the IV is so high and there is so much time to expiration!

- Daily moves in stock price will not have big PnL impact.

- Your PnL goes up when IV drops, and it goes down when IV increases.

- Trade delta neutral structures like straddles and strangles.

- Take profit when IV comes back down, usually a 10-30% profit.

- Cut loss at a 30% loss unless you think the edge is getting bigger.

Structuring and managing these trades is pretty straightforward and similar to what we have done for the other strategies. You should be looking to use a delta neutral structure on the expiration you selected. In the image above, the structure is an at-the-money straddle with 120 days to expiration.

At this point you know enough to find trades like a pro.

You have 3 actionable, data driven strategies. Not only that, but you have enough knowledge to take these concepts and apply them to your own ideas.

There is one last piece of the puzzle that we need to discuss, and it’s another important one.

Managing the trades we place.

8 Trade Management: Delta Hedging

We have gone through the work of finding trades and assembling our portfolios. We are in a prime position to run a successful vol trading book.

Now we just need to see it through. And to do this, we need to discuss how to manage these trades.

The most important concept for managing volatility trades is that we are trading the *size of moves, not the direction*. This is why our go-to structures are straddles and strangles. *They are delta neutral at inception (PnL does not depend on the stock going up or down).*

To run our book successfully we will need to delta hedge our trades. If you need a refresher on how delta hedging works, Click Here. (and if you need to learn about the Greeks, it's covered in the silver level education).

The reason we need to delta hedge is that our PnL is based on either the difference between implied and realized volatility, or a change in the level of implied volatility.

If we do not hedge our deltas, we introduce a directional component to our PnL. This reduces our control of our outcomes and lowers our returns.

To be clear: in order to realize your expected value on these strategies you will need to be delta hedging. If you are unclear about how to do this or would like support, reach out to our team through email, or discord, and book a coaching call.

When should we hedge our position?

There are no hard rules for delta hedging. In the end of the day it really comes down to your risk parameters. For example, if we have a $5,000 account then -150 Deltas impacts us a lot more compared to if we had a $100,000 account. It is ultimately up to you to decide what delta makes sense for you to hedge at. **But what is most important is to know that we *need* to be hedging our deltas.**

Basic ways traders hedge deltas

1. Hedging Daily

This method involves adjusting your hedge position every day to maintain a delta-neutral status. "Delta-neutral" means that the sensitivity of your options position to price changes in the underlying asset is minimized.

Example: Suppose you have sold a straddle on Stock X, which currently has a delta of +0.2 due to market movements. To hedge, you would need to sell 20 shares of Stock X to bring the delta back to zero. Every day, you check the delta of the options position and adjust the number of shares you own to keep the overall delta at zero.

2. Hedging Bands

Instead of rebalancing daily, hedging bands allow the delta to fluctuate within a predetermined range or "band" before making adjustments. This method reduces the number of transactions, potentially lowering costs and effort.

Example: You set a band of +/- 0.1 delta for your hedged position. If your delta after selling the straddle is zero, you will only adjust your stock position if the delta reaches +0.1 or -0.1. If the delta goes to +0.15, you sell enough shares to bring it back down to within your band (e.g., selling enough shares to adjust the delta close to zero again).

Note: You should set up your brokerage to show you your delta exposure for each of your trades.

Both methods aim to manage risk but differ in the frequency of adjustments and the degree of delta fluctuation they allow. Daily hedging keeps your position very close to delta neutral but may involve more transaction costs. Hedging bands reduce the number of transactions and potentially save on costs but allow greater short-term risk exposure.

So What's Next?

If you have made it through this document, you now have all the knowledge and tools needed to get out there and start running a +EV volatility portfolio. Not only that, but you should be able to see *how your portfolio scales in the future.*

The next step from here is to take action. Remember what we said earlier?

Predicting Alpha is not a place for theory, it's a place for action. So go and place a trade right now.

This hasn't changed. All the theory in the world isn't going to put a dollar in your pocket. Taking action and getting started today will.

So join the community. Book the coaching calls. *Talk* in the community. And trade with confidence knowing the numbers are on your side.

We look forward to walking with you on this journey. Thanks for being a part of our small community. We can't wait to see where this journey takes you.

Happy trading,

The Predicting Alpha Team